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MGT101 – Financial Accounting

Multiple Choices

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Made by:

ASAD ALI SHAH

Email:

Asadalishah.naqvi@gmail.com

1. **An accounting system is used by a business to:**

► **Analyze transactions**

► Handle routine book-keeping tasks

► Classify and summarize financial information

► All of the given options

2. **The assets which have a limited useful life are termed as:**

► Limited assets

► **Depreciate able assets**

► Unlimited assets

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► None of the given options

3. **Accountancy covers which of the following area(s):**

► Book-keeping

► Accounting

► Auditing

► **All of the given options**

4. **If a business pays rent in advance for 12 months, it will be treated as:**

► **Prepaid expenses of business**

► Long term liability of business

► Fixed assets of business

► Current liability of business

5. **Which of the following transaction have NO affect on stockholders' equity?**

► Purchase of land on credit

► **Dividends to stockholders**

► Net loss

► Investment in cash by stockholders

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6. Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account

► Furniture account

► Vehicle account

► **Capital account**

7. If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

► **Any cheque drawn to creditor but not paid by bank**

► Interest credited by the bank in pass book

► Cheque deposited but not credited by the bank

► Dividend collected by bank on behalf of the customer

8. The cost of moving plant and machinery to a new site will be treated as:

► **Revenue expense**

► Capital expense

► Administrative expense

► Operating expense

9. Which one of the following is NOT true about Capital Expenditure?

► Creates future benefits

► Incurred to acquire fixed assets

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► Incurred to increase the economic life of existing fixed assets

► **Reduce the profit of the concern**

10.Consider the following:

If, Cost of machine = Rs.400, 000

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Useful life = 5 years

Residual value = Rs.25, 000

The depreciation of machine per year using straight line method is?

► Rs. 160,000

► Rs. 96,000

► **Rs. 75,000**

► Rs. 57,600

11..A decrease in value of a fixed asset due to age, wear and tear is known as:

► **Depreciation**

► Accumulated Depreciation

► Appreciation

► Written Down Value

12.In balance sheet fixed assets are shown at:

► Cost price

► Market value

► Fair value

► **Written down value (WDV)**

13.In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

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► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

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14.What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► **Rs. 5,500**

►

Rs. 8,000

► Rs. 4,500

► Rs. 8,500

15.Following are the inventories of Manufacturing Concern EXCEPT:

► Raw material

► Work in process

► Finished goods

► **Merchandise inventory**

16.If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► Rs. 5,000 Loss

► **Rs. 5, 000 Profit**

► Rs.1, 95,000 Profit

► Rs.1, 95,000 Loss

17.Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account

► Furniture account

► Vehicle account

► **All of the given options**

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18.The return of goods by a customer should be debited to:

► Customer's account

► Sales return account

► Goods account

► Accounts receivable

19.Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

► Furniture account

► Cash account

► Business account

► Bank account

20. Which of the following account will be credited, If Mr. "A" started business With cash Rs. 2, 00,000?

► Capital account

► Cash account

► Mr. A's account

► Business account

21.

Which of the following journal entry will be recorded, if the goods are sold on credit to Mr. 'B'?

► Mr. "B" / Accounts Receivable account (Dr) and Sales account (Cr)

► Cash account (Dr) and sales account (Cr)

► Sales account (Dr) and Mr. B / Accounts Receivable account (Cr)

► Goods Sold account (Dr) and Mr. B / Accounts Receivable account (Cr)

22. Which of the following is NOT an item of a Balance Sheet?

► Accounts Receivable

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► Accounts Payable

► Sales Revenue

► Marketable Securities

23. Accounts Receivable & Inventory are the examples of:

► Liquid assets

► Current assets

► Fixed assets

► Capital assets

24. Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account

► Cash Flow Statement

► Balance Sheet

► Income & Expenditure Account

25. Which of the following summarizes the cash movements during a specified period?

► Trading account

► Profit & Loss account

► Receipts & Payments account

► Balance Sheet

26. Which of the following financial statement summarizes the profitability of an organization for a particular period?

► Balance Sheet

► Trading and Profit & Loss account

► Cash Flow Statement

► Statement of Retained Earnings

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27. In an account, if credit side < debit side then the balance is known as:

► Negative Balance

► Debit Balance

► Positive Balance

► Credit Balance

28. Which of the following is CORRECT about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

29. Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher

► General Journal

► General Ledger

► Trial balance

30. When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account

► Left or debit side of the account

► Left or credit side of the account

► Right or credit side of the account

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31.What is the nature of an expense account?

► **Debit**

► Credit

► Revenue

► None of the given options

32.Economic resources owned by a business and expected to benefit for the future operations are called:

► Expenses

► **Assets**

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► Capital

► Liabilities

33.Assets total Rs.50, 000 and Liabilities total Rs.10, 000. What is the equity of the business?

► **Rs. 40, 000**

► Rs. 60, 000

► Rs. 10,000

► Rs. 50,000

34.An expense incurred by the business for the purchase of land & building is an

example of:

► **Capital Expense**

► Revenue Expense

► Deferred Expense

► Preliminary Expense

35.Which of the following is non- profit organization?

► Sole proprietorship

► Partnership

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► Limited company

► **Trust**

36.The area of accounting concerned with reporting financial information to the interested parties is called:

► Cost Accounting

► **Financial Accounting** Download More Files from VUAnswer.com

► Management Accounting

► Tax Accounting

37.The expenses that give benefit for a period of more than twelve months are called _____.

► Capital expenses

► **Revenue expenses**

► Preliminary expenses

► None of the given options

38.An expense incurred by the business for the purchase of land & building is an

example of:

► **Capital Expense**

► Revenue Expense

► Deferred Expense

► Preliminary Expense

39.Income of the business includes:

► Cash sales only

► Credit sales only

► Credit purchases only

► **Both cash sales and credit sales**

40.The basic accounting principle/concept according to which Business is

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independent from its owner(s) is known as:

► **Separate Entity Concept**

► Matching Concept

► Going Concern Concept

► Materiality Concept

41.Commercial Accounting is based on:

► Single entry book keeping

► Double entry book keeping

► **Both single and double entry book keeping**

► Cash basis of book keeping

42.Obligations to pay cash or un-earned incomes by the business are the:

► Expenses

► Assets

► **Liabilities**

► Equities

43.What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity

► Increase in cash and increase in goods

► **Increase in goods and decrease in cash**

► Increase in equipment and increase in equity

44.When Capital is increased by an amount, it is recorded on the:

► **Left or credit side of the account**

► Right or debit side of the account

► Left or debit side of the account

► Right or credit side of the account

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45.Which of the following is also called "The original book of entry"?

► **General Journal**

► General Ledger

► Trial Balance

► Profit and Loss Account

46.An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

► Income Statement

► Balance Sheet

► **Trial Balance**

► Cash Book

47.Which of the following is CORRECT for Trading account?

► **It inculdes cost of goods sold and all the direct expenses related to sales**

► It inculdes cost of goods sold and all the indirect expenses related to sales

► it includes cost of goods sold and all the direct and indirect expenses

► It includes cost of goods sold and all the direct and selling, administrative expenses

48.Which one of the following is NOT prepared by Non profit organizations?

► **Profit & Loss account**

► Income & Expenditure account

► Receipts & Payments account

► Balance Sheet

49. Which of the following is an example of a Current liability?

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► Closing inventory

► Opening inventory

► Petty cash

► **Bank overdraft**

50.Question No: 14 (Marks: 1) - Please choose one

Identify the business transaction for given entry below.

Vehicle Account

XXX (Dr.)

Bank Account

XXX (Cr.)

► **Paid for vehicle through cheque**

► Paid for vehicle through cash

► Purchased vehicle on credit

► None of the given options

51."Mr. "A" collected cash from debtors", the journal entry for this transaction is:

► Mr. "A" a/c Dr. and debtors a/c Cr.

► Mr. "A" a/c Dr. and cash a/c Cr.

► Cash a/c Dr. and debtors a/c Cr.

► None of the given options

52.Which of the following is an alternate term which can be used for "Capital"?

► Liability

► **Owner's net worth**

► Working capital

► Asset

53.Which of the following organization converts raw material into finished

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goods? Download More Files from VUAnswer.com

► Trading concern

► Manufacturing concern

► Merchandising concern

► Service concern

54.The stock of manufacturing concern consists of:

► Work in Process Inventory

► Raw Materials Inventory

► Finished Goods Inventory

► All of the given options

55.In balance sheet fixed assets are shown at:

► Cost price

► Market value

► Fair value

► Written down value (WDV)

56.If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

► Any cheque drawn to creditor but not paid by bank

► Interest credited by the bank in pass book

► Cheque deposited but not credited by the bank

► Dividend collected by bank on behalf of the customer

57.If you start with cash book favorable balance in Bank Reconciliation Statement, which item will be added?

► Cheque deposited but not credited by the bank

► Cheques omitted to be deposited into bank

► Any amount directly collected by bank on behalf of customer but not

recorded in cash book

► Debit side of cash book was overcast

58.Bank Reconciliation Statement is:

► A memorandum statement

► A ledger account

► A part of cash book

► A part of journal

59.Bank Reconciliation Statement is prepared by:

► Bankers

► Accountant of the business

► Statutory auditor

► Manger

60.Stock of Trading concern consists of:

► Raw material

► Work in process

► Merchandise inventory

► All of the given options

61.When the process of production is completed, all the costs must be charged to:

► Raw material account

► Work in process account

► Finished goods account

► Merchandise account

62.Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

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► Cash account

► Furniture account

► Vehicle account

► **Capital account**

63.If a business pays rent in advance for 12 months, it will be treated as:

► **Prepaid expenses of business**

► Long term liability of business

► Fixed assets of business

► Current liability of business

64.Accountancy covers which of the following area(s):

► Book-keeping

► Accounting

► Auditing

► **All of the given options**

65.The assets which have a limited useful life are termed as:

► Limited assets

► **Depreciateable assets**

► Unlimited assets

► None of the given options

66.Depreciable value of an asset is equal to:

► Cost + scrap value

► Cost + market price

► Cost – scrap value

► **None of the given options**

67.Which one of the following is equal to the carrying cost of an asset?

► **Original cost minus Accumulated depreciation**

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► Original cost plus Accumulated depreciation

► Original cost minus Residual value

► Written down value minus Accumulated depreciation

68.Which one of the following is another name of carrying cost of an asset?

► Book Value

► Residual Value

► Fair Value

► Break up Value

69. Which of the following fixed asset is shown at cost rather than book value?

► Machinery

► Furniture

► Vehicles

► Land

70.Which of the following statement is the detail of transaction in one's account provided by the bank?

► Bank statement

► Bank reconciliation statement

► Income statement

► Financial statement

71.When income exceeds expenses in a specific time period is known as:

► Savings

► Net profit

► Gross profit

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► Operating profit

72.An asset cost Rs. 50,000, has an estimated residual value of Rs.1, 500, and an estimated useful life of 8 years. What is the depreciation rate under reducing balance method?

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► 11.5%

► 20.0%

► **25.0%**

► 35.5%

73.Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ For business of Mr. "A".

► **Revenue**

► Net profit

► Gross profit

► Operating profit

74.An organization operating with the objective of making profit from the sale of

goods or services is called:

► Transaction

► **Business**

► Society

► Trust

75.We can say that the business is in profit, when:

► Assets exceed Expenditure

► Assets exceed Liabilities

► **Income exceeds Expenditure**

► Income exceeds Liabilities

76.An expense incurred by the business for the purchase of land & building is an

example of:

► **Capital Expense**

► Revenue Expense

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► Deferred Expense

► Preliminary Expense

77.Income of the business includes:

► Cash sales only

► Credit sales only

► Credit purchases only

► **Both cash sales and credit sales**

78.Commercial Accounting is based on:

► Single entry book keeping

► **Double entry book keeping**

► Both single and double entry book keeping

► Cash basis of book keeping

79.Which of the following is NOT true about Double Entry System?

► Both credit and debit transactions are recorded

► Accurate profit and loss is calculated

► Financial statements can be made directly from the accounts

► **Non cash transaction are not recorded under this system**

80.Economic resources owned by a business and expected to benefit for the future operations are called:

► Expenses

► **Assets**

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► Capital

► Liabilities

81.When Capital is increased by an amount, it is recorded on the:

► Left or credit side of the account

► Right or debit side of the account

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► Left or debit side of the account

► Right or credit side of the account

A summarized record of transactions related to individuals or things is called a/an _____.

► Account

► Voucher

► Journal

► Trial balance

82.Documentary evidence, in a specific format used to record the details of a transaction is known as:

► Account

► Voucher

► Journal

► Ledger

83.The original book of entry, in which all vouchers are first recorded, is called:

► General Journal

► General Ledger

► Trial Balance

► Balance Sheet

84.Which of the following financial statement summarizes the profitability of an organization for a particular period?

► Balance Sheet

► Trading and Profit & Loss account

► Cash Flow Statement

► Statement of Retained Earnings

85.Which of the following statement is NOT TRUE about Current liabilities?

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► These are due within one year

► These are short-term loans

► These are consist of all debts, payable after 12 months

► In working capital, these are deducted from current assets

86.Which of the following account will be credited, if business purchased a vehicle on cash?

► Vehicle account

► Cash account

► Business account

► Bank account

87.Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account

► Furniture account

► Vehicle account

► All of the given options

88.If the cost of sales is Rs. 95,000, sales are Rs. 100,000 and operating expenses are Rs. 200,000 during the year, what would be the net result?

► Loss of Rs. 1, 95,000

► Profit of Rs. 1, 95,000

► Profit of Rs 5,000

► Loss of Rs 5,000

89.Which of the following is NOT a type of voucher?

► Journal Voucher

► Receipt Voucher

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► Payment Voucher

► Drawings Voucher

90.Following are the inventories of Manufacturing Concern EXCEPT:

► Raw material

► Work in process

► Finished goods

► Merchandise inventory

91.Which one of the following is CORRECT about the closing stock?

► It appears in the assets side of a balance sheet

► It decreases the value of cost of goods sold

► It becomes opening stock of next year

► All of the given option

92.Which of the following is an example of direct materials cost?

► Polish and finishing material for chair

► A piece of wood for the production of chair

► Production worker's wages

► Depreciation expenses

93.In the cost of goods sold statement, the sum of labor cost and the factory over head is known as:

► Conversion cost(these heads come in this)

► Prime cost

► Total factory cost (After Added)

► Cost of goods manufactured

94. In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process

► Total factory cost + Opening work in process – Ending work in

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Process

► Total factory cost - Opening work in process + ending work in process

► ending work in process +total factory cost – Opening work in process

95.The amount of depreciation charged on machinery will be debited to:

► Machinery account

► **Depreciation account**

► Cash account

► Capital account

96.The cost of moving plant and machinery to a new site will be treated as:

► Revenue expense

► **Capital expense**

► Administrative expense

► Operating expense

97.Interest on loan paid by business is an example of :

► **Deferred expense (not Confirm)**

► Revenue expense

► Capital expense

► None of the given options

98.A form that allow individuals to compare their personal bank account records to the bank's records of the individual's account balance in order to uncover any possible discrepancies is known as:

► Bank statement

► Income statement

► Financial statement

► **Bank Reconciliation statement**

99.Bank Reconciliation Statement is prepared by:

► Bankers

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► **Accountant of the business**

► Statutory auditor

► Manger

100. Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account

► Furniture account

► Vehicle account

► **Capital account**

101. If a business pays rent in advance for 12 months, it will be treated as:

► **Prepaid expenses of business**

► Long term liability of business

► Fixed assets of business

► Current liability of business

102. In accounting accumulated depreciation is:

► Treated as a reserve

► Treated as a contra asset

► Treated as a surplus

► **Treated as an expense**

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103. Which of the following is CORRECT regarding depreciation?

► It refers to the end life of an asset

► It refers to the increase in value of asset

► It is another name of Impairment

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**

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104. Which of the following statement is the detail of transaction in one's account provided by the bank?

► Bank reconciliation statement

► Income statement

► Financial statement

105. Net Profit + Expenses= _____

► Liabilities

► Assets

► Capital

► Income

106. If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 Years, what is the depreciation rate under reducing balance method?

► 10%

► 22%

► 42%

► 52%

107. What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► Rs. 5,500

► Rs. 8,000

► Rs. 4,500

► Rs. 8,500

108. We can say that the business is in profit, when:

► Assets exceed Expenditure

► Assets exceed Liabilities

► Income exceeds Expenditure

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► Income exceeds Liabilities

109. Cost incurred for the maintenance of shop is considered as _____.

► Deferred expense

► Capital expense

► **Revenue expense**

► Preliminary expense

110. If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

► For the year 2008 only

► For the last day of 10th year only

► Over 10 years

► **Nothing can be said about it**

111. Word "Credit" is derived from _____ language.

► Latin

► English

► French

► Chinese

112. According to the double entry system of accounting, an account that obtains

benefit is:

► **Debit**

► Credit

► Income

► No need to show as accounting record

113. An Asset that is NOT physical in nature is called _____.

► Intangible Asset

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► **Liquid Asset**

► Current Asset

► Fixed Asset

114. What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity

► Increase in cash and increase in goods

► **Increase in goods and decrease in cash**

► Increase in equipment and increase in equity

115. Which of the following is CORRECT about the flow of recording a transaction?

► **Occurrence of event – voucher—Journal—Ledger—Trial** Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

116. In an account, if credit side < debit side then the balance is known as:

► Negative Balance

► Debit Balance

► Positive Balance

► **Credit Balance**

117. Bank book is part of:

► Voucher

► General Journal

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► **General Ledger**

► Trial Balance

118. While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

► **Profit**

► Loss

► Surplus

► Deficit

119. Gross Profit > Operating Expenses=?

► **Net Profit**

► Cost of Goods Sold

► Net Loss

► Gross Loss

120. Accrued expenses are the example of:

► **Current liabilities**

► Long term liabilities

► Deferred costs

► Capital expenses

121. The favorable balance of Profit and Loss account should be:

► Added in liabilities

► Subtracted from current assets

► Subtracted from liabilities

► **Added in capital**

122. Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account

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► Sundry creditors account

► Accounts payable account

► **Cash account**

123. Which of the following financial statement DO NOT show the financial health of a business at a specific date?

► **Profit and loss account**

► Balance sheet

► Statement of financial position

► All of the given options

124. In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets < current liabilities

125. Which of the following particular is NOT included in the specimen of a payment voucher?

► Name of organization

► Cash payment amount

► Date of transaction

► **Bank receipt**

126. The stock of manufacturing concern consists of:

► Work in Process Inventory

► Raw Materials Inventory

► Finished Goods Inventory

► **All of the given options**

127. Following are the inventories of Manufacturing Concern EXCEPT:

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► Raw material

► Work in process

► Finished goods

► **Merchandise inventory**

128. The products that are ready for sale are known as:

► Raw material

► Work in process

► **Finished goods**

► closing stock

129. Which of the following is an example of direct materials cost?

► Polish and finishing material for chair

► **a piece of wood for the production of chair**

► Production worker's wages

► Depreciation expenses

130. The total of all costs incurred to convert raw material into finished goods Is known as:

► Prime cost

► **Conversion cost**

► Sunk cost

► Opportunity cost

131. In balance sheet fixed assets are shown at:

► Cost price

► Market value

► Fair value

► **Written down value (WDV)**

132. A decrease in value of a fixed asset due to age, wear and tear is known as:

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► **Depreciation**

► Accumulated Depreciation

► Appreciation

► Written Down Value

133. All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account

► Capital work in progress account

► **Relevant asset account**

► Owner's equity account

134. Bank Reconciliation Statement is:

► **A memorandum statement**

► A ledger account

► A part of cash book

► A part of journal

135. Which of the following asset is NOT depreciated?

► Factory Buildings

► Office Equipment

► Plant & Machinery

► **Land**

136. The basic purpose of depreciation is to achieve the:

► **Matching principle**

► Dual aspect principle

► Separate entity concept

► Money measurement concept

137. Firms charge depreciation each year:

► To ensure there is enough money in the firm to replace the asset

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► **To spread the cost of the asset over its working life**

► To reduce the profit and thus reduce the dividends they can pay to share holders

► Because the law states they must be reduced

138. Which one of the following is equal to the carrying cost of an asset?

► **Original cost minus Accumulated depreciation**

► Original cost plus Accumulated depreciation

► Original cost minus Residual value

► Written down value minus Accumulated depreciation

139. An estimate of the income and expenses needed to carry out business plans

for a fiscal year is known as:

► **Budgeting**

► Costing

► Management

► Auditing

140. Unfavorable balance of the cash book means:

► **Credit balance in cash book**

► Credit balance in pass book

► Debit balance in cash book

► All of the given options

141. Net Profit + Expenses= _____

► Liabilities

► Assets

► Capital

► **Income**

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142. What would be the value of conversion cost, if the cost of material consumed

during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

► Rs. 3,000

► **Rs. 8,000**

► Rs. 7,000

► Rs. 5,000

143. When the process of production is completed, all the costs must be charged to:

► Raw material account

► Work in process account

► **Finished goods account**

► Merchandise account

144. Which of the following assets are shown at written down value in balance sheet?

► Current assets

► Liquid assets

► Floating assets

► **Fixed assets**

145. Which of the following asset is NOT depreciated?

► Factory Buildings

► Office Equipment

► Plant & Machinery

► **Land**

146. The main goal of Bank Reconciliation Statement is to determine:

► **if the discrepancy is due to error rather than timing**

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► If the discrepancy is due to timing rather than error

► If the discrepancy is due to error rather than amount

► If the discrepancy is due to amount rather than timing

147. Sale proceeds of goods are an example of:

► Revenue expense

► Capital expense

► Capital receipt

► Revenue receipt

148. Which one of the following is NOT true about revenue expenditure?

► These are the running expenses of the business

► They improve the financial position of the business

► They reduce the profit of the concern

► They do not appear in the balance sheet

149. If, Cost of machine = Rs.400, 000

Useful life = 5 years

Rate of depreciation= 40%

The book value of machine after one years using diminishing balance method is ?

► Rs.86, 400

► Rs. 1, 44,000

► Rs. 2, 40,000

► Rs. 51,840

150. The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost

► Conversion cost

► Sunk cost

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► Opportunity cost

151. Which of the following is an example of direct materials cost?

► Polish and finishing material for chair

► A piece of wood for the production of chair

► Production worker's wages

► Depreciation expenses

152. If the working capital and the current assets of company XYZ are Rs. 5,000

and Rs.15,000 respectively, calculate the current liabilities.

► Rs. 5,000

► Rs. 10,000

► Rs. 15,000

► Rs. 20,000

153. Which of the following item appears in Trading Account of a business?

► Interest expenses

► Wages and salaries

► Depreciation expenses

► Discount Allowed

154. Which of the following is an alternate term which can be used for "Capital"?

► Liability

► Owner's net worth

► Working capital

► Asset

155. Which of the following financial statement DO NOT show the financial health of a business at a specific date?

► Profit and loss account

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► Balance sheet

► Statement of financial position

► All of the given options

156. If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► Rs. 5,000 Loss

► Rs. 5, 000 Profit

► Rs.1, 95,000 Profit

► Rs.1, 95,000 Loss

157. Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account

► Furniture account

► Vehicle account

► All of the given options

158. Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account

► Sundry creditors account

► Accounts payable account

► Cash account

159. Which of the following journal entry will be recorded, if the payment of furniture purchased is made through cheque?

► Furniture account (Dr) and Bank account (Cr)

► Furniture account (Dr) and Profit & Loss account (Cr)

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► Furniture account (Dr) and Cash account (Cr)

► Cash account (Dr) and Furniture account (Cr)

160. Which one of the following statement is CORRECT about Long term liabilities?

► These are due within one year

► These are consist of all debts, payable after 12 months

► In working capital, these are deducted from current assets

► All of the given options

161. What type of expenses are paid out of Gross Profit?

► Selling Expenses

► General Expenses

► Financial Expenses

► All of the given options

162. While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

► Deficit

► Surplus

► Profit

► Loss

163. Which one of the following is NOT prepared by Non profit organizations?

► Profit & Loss account

► Income & Expenditure account

► Receipts & Payments account

► Balance Sheet

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164. Which of the following financial statement summarizes the profitability of an organization for a particular period?

► Trading and Profit & Loss account

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► Cash Flow Statement

► Statement of Retained Earnings

► Balance Sheet

165. Which of the following period is known as a fiscal Year of the Government of Pakistan?

► 1st January to 31st December

► 1st June to 31st May

► 1st July to 30th June

► 1st October to 30th September

166. What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity

► Increase in cash and increase in goods

► Increase in goods and decrease in cash

► Increase in equipment and increase in equity

167. Obligations to pay cash or un-earned incomes by the business are the:

► Assets

► Liabilities

► Equities

► Expenses

168. Commercial Accounting is based on:

► Single entry book keeping

► Double entry book keeping

► Both single and double entry book keeping

► Cash basis of book keeping

169. Word "Credit" is derived from _____ language.

► Latin

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► English

► French

► Chinese

170. The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

► Separate Entity Concept

► Matching Concept

► Going Concern Concept

► Materiality Concept

171. Double entry accounting system includes:

► Accrual accounting only

► Cash accounting only

► Both cash and accrual accounting

► None of the given options

172. An accounting system is used by a business to:

► Analyze transactions

► Handle routine book-keeping tasks

► Structure information

► All of the given options

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1. Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit
Sold	10 units @ 10 35 units @ 11 40 units @ 12 Balance 20 units @ 13 = 260

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► Rs.268

2. Please choose one Consider the following inventory record:

Date	Item	QuantitY	Cost/Un it Rs.	Total RS.
Jan. 2	Purchase	10	10	100
Mar. 4	Purchase	35	11	385
May 8		40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available Opening	105		1,225

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	Stock Add purchases Total material available for sale Less closing ** Cost of good sold			

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225

► Rs. 1,015

► Rs. 965

► Rs. 905

3.

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

4.

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Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost = dm + dl	130000

► Rs.1 Rs.130, 000

►Rs.110, 000

► Rs.140, 000

►Rs.190, 000

5.

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	?

►Rs. 20,000

►Rs.40, 000

►Rs.90, 000

► Rs.160, 000

6.

Cost of asset	RS 100000
Life of asset	5 years

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Depreciation for each year Sale price after 5 years	Rs. 5,000 Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	?

► Rs.25, 000 loss

► Rs. 75,000 loss

► Rs. 15,000 profit

► Rs. 1, 00,000 profit

7.

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

8.

Cost of asset	Rs. 1,00,000
Life of asset	5 years

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Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	?

► Rs.25, 000 loss

► Rs. 75,000 loss

► Rs. 15,000 profit

► Rs. 1, 00,000 profit

9.

Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000

► Rs. 215,000

► Rs. 205,000

► Rs. 215,000

10.Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit

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Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► Rs.268

11.Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

► Rs. 1, 98,000
► Rs. 49,000
► Rs. 55,000
► Rs. 4, 40,000

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000

► Rs. 2, 25,000
► Rs. 2, 50,000

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► Rs. 2, 75,000
► Rs. 75,000

12.

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Written down value of asset at the end of 5th year	Rs.25,000
Profit or loss on disposal of fixed assets	?

► Rs.25, 000 profit
► Rs. 75,000 loss
► Rs. 15,000 profit
► Rs. 1, 00,000 profit

13.

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine
the cost of goods sold.

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► Rs. 1,225
► Rs. 1,015
► Rs. 965
► Rs. 905

14.

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and
determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► Rs.8, 400

15.Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 82,385 owner's equity

► Rs. 61,385 owner's equity

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► Rs. 99,885 owner's equity

► Rs. 99,385 owner's equity

16.

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

► Rs. 1, 98,000

► Rs. 49,000

► Rs. 55,000

► Rs. 4, 40,000

17.

Particulars	Rs.
Opening written down value of machine	3,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	9,000
closing written down value (WDV) of the Machine	?

► Rs. 3, 41,000

► Rs. 3, 50,000

► Rs. 3, 59,000

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► Rs. 59,000

18.

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

► Rs. 2, 25,000

► Rs. 2, 50,000

► Rs. 2, 75,000

► Rs. 75,000

19.

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

► Rs. 49,000

► Rs. 55,000

► Rs. 1, 25,000

► Rs. 1, 03,000

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20. Find out the missing value of an Accounting Equation with the help of given data

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 60,385 owner's equity
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

21. Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

► Rs. 2, 01,000 liabilities
► Rs. 1, 11, 000 liabilities
► Rs. 2, 90, 000 liabilities
► Rs. 2, 91, 000 liabilities

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